

Development Centre at Vellore Institute of Technology. He adds that VIT was able to attract 300 GCCs last year for campus recruitments. “Our focus is on attracting more GCCs on campus. They offer a minimum of ₹6 LPA as CTC.”

Students’ changing preferences have led many Tier II colleges to minimise their reliance on IT services companies. SRM’s Vivekanandan claims 150 high-paying product companies visit the campus in July-August with ₹10-20 LPA compensation packages and finish hiring before services firms.

bottom of the pyramid,” says Soin.

“We have not discerned declining interest from freshers choosing IT jobs... Given the abundance of pool availability, we are not seeing any major impact on the supply side, but our focus is more on quality talent intake,” says Nandimath of TCS.

Nasscom’s Gupta disagrees that firms are having to reach lower for entry-level talent. “We were never IITs’ top pick. It is mostly at the next rung of colleges that the services industry was hiring. The volumes the IT services industry hires will continue to make it a preferred em-

years with them,” says Pai.

Today’s freshers are tomorrow’s leaders and it is imperative for the industry to make itself attractive to the top talent from the Tier II colleges at least, the experts say.

Trim the industry’s bloated belly to regain interest from top-notch students, veterans suggest. A lot of people stop writing code after four-five years to become managers and pen pushers, says Pai. “Cut the mid-level flab and pay freshers more. Let go of those at the top who are paid exorbitantly but are not productive or billable,” he adds. Jha points out



“We have salaries tailored to each employee’s skill set and job relevance. The remuneration for freshers is determined by the skills they have shown during the selection process”

HARSHVENDRA SOIN
GLOBAL CHIEF PEOPLE OFFICER AND HEAD-MARKETING, TECH MAHINDRA



“There is a decline in freshers’ interest in IT services and operations...With IT firms not keeping their commitment (on onboarding), it will impact the quality of hiring in the coming years”

T.V. MOHANDAS PAI
CHAIRMAN, AARIN CAPITAL AND FORMER CFO, INFOSYS

According to Pai, more freshers from Tier III and IV colleges are joining IT services companies today because there is hardly any interest from Tier I colleges, while interest from Tier II colleges is waning.

TechM, for instance, has broadened its pool by hiring candidates from STEAM (science, technology, engineering, arts and mathematics) backgrounds, leveraging gig workforce, nearshore hiring in global locations and Tier II and Tier III cities in India. “We have increased hiring across all levels, especially at the

employer in a country where so many engineers graduate every year.”

To be sure, students still accept IT services job offers in large numbers. These firms hired 800,000 freshers over the past two financial years, per TeamLease Digital and industry estimates. But many accept them only as a backup until they bag higher-paying product jobs. Others join only to leave in a year or two once their market value rises following training. “The training given by software services companies is world-class. It pays to spend 1-1.5

that artificial promotions and title changes as retention strategies have inflated costs. “Companies must be ruthless in ensuring promotions to middle- and senior-management are truly role-based.” Nayar suggests going back to campuses with five-year salary projections. “These investments will pay back very quickly as IT services is a people’s business. Organisations that believe in employees first will always win, both in down and up cycles.” **BT**

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